

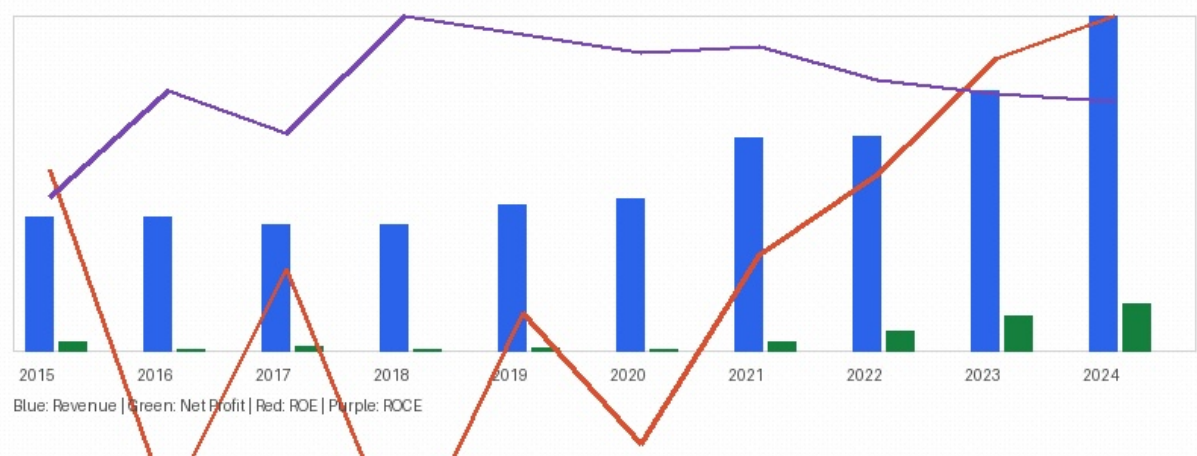
Canara Bank (CANBK)

ROE 16.72%	ROCE 3.16%	NPM 13.94%
D/E 14.87	Revenue CAGR 18.18%	FCF 13,296.00

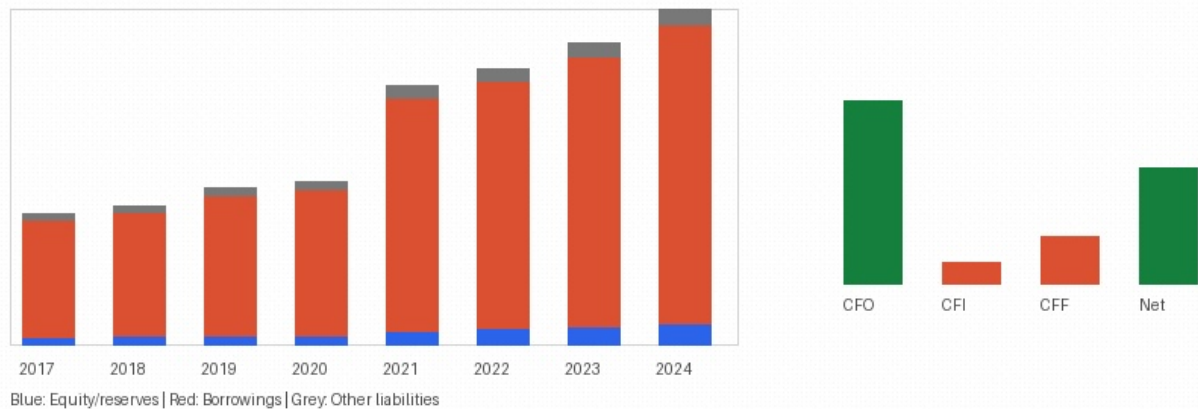
Sector: Financials | **Sub-sector:** Public Sector Banks

Canara Bank was merged with erstwhile Syndicate Bank in FY21. Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the GoI. The bank is headquartered in Bangalore.

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Operating margins declining for 3 consecutive years suggest pricing or cost pressure
Operating profit margin above 25% indicates strong pricing power and cost discipline	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Net profit compounding at above 20% over 5 years creates significant shareholder value	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Reinvestor